

HTT pitch deck

Both benches are in and agree, so this is a writing task — the deck below is assembled entirely from the courts' own numbers, with their errors called out where the blue bench corrected the red.

PITCH — HTT — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: Do not buy at any price today. Re-open the case only on one of three named events (a confirmed earnings release, a new cash distribution to shareholders, or a take-private filing by the controller) — not on the stock getting cheaper. Red bench conviction 7/10, blue bench 8/10, blue sustained red's case with two numbers corrected.

What we believe

High Templar Tech (the company formerly known for consumer lending in China, CIK 1692705) trades at \$2.53 with roughly \$393 million of total market value, against a balance sheet the company presents as about \$775 million of net cash and investments — roughly half price on paper. We believe the cash is largely real but **the discount is earned, not a mistake**, for four reasons the courts confirmed from primary documents:

- 1. Most of the cash is in the wrong place.** The 20-F's parent-company schedule shows only about US\$338.5 million of cash and short-term investments actually sat at the offshore parent before the tender offer — roughly US\$210 million after paying for it. That covers only about half the market cap. The rest sits inside mainland-China subsidiaries and consolidated VIE entities (RMB 7.5 billion of assets), behind withholding taxes and contract-enforceability risk that a minority shareholder in the Cayman holding company cannot force open.
- 2. Part of the onshore cash is already spoken for.** The 20-F's borrowings note states the company's short-term bank loans are secured by standby letters of credit that are "in turn collateralized by the Company's restricted cash" — so the RMB 1.5 billion of restricted cash that bulls add to get a \$6.39/ADS value is pledged, not spare ([20-F borrowings note](#), [SEC EDGAR](#)).
- 3. One person controls the outcome.** Founder Luo Min's entity holds all 63.5 million super-voting Class B shares — about 87% of all votes after the tender. He and the officers did not tender their own shares, and the tender document says there are "no current definitive plans" to buy out the rest. He can wait; minority holders cannot make him pay fair value.
- 4. You cannot get out.** The June tender was oversubscribed: 46.0 million ADSs tendered, only 40.0 million accepted (88.8% proration), leaving about 6 million ADSs — roughly 11% of the remaining float — held by people who already tried to sell at \$3.20 or less. Average daily volume is about 18,200 ADSs (~\$46,000 a day). Even a small starter position would take more than ten full days of the entire market's volume to build or unwind.

The company has also gone quiet: it skipped its Q1-2026 quarterly release, one quarter before running the tender, and operating losses (about US\$63 million a year of operating expenses against ~US\$0.5 million a quarter of revenue) slowly erode the value while everyone waits.

What the market believes

The market prices HTT at roughly the value of the cash that is demonstrably offshore and reachable, and assigns close to zero for the onshore majority of the balance sheet. In other words, the market treats the onshore cash as an option belonging to the controller, not to shareholders. The stock is 50% off its 52-week high but still 35% above its low, and the tape shows no forced-seller panic — just a thin, drifting stock with a known seller overhang. There is no analyst coverage or event pricing to speak of; the next earnings date shown on data aggregators (August 25, 2026) is a third-party estimate the company has never confirmed.

Why we might have edge

- **We read the documents nobody can open.** The 20-F main file is too large for standard retrieval and both benches initially declared the onshore/offshore cash split unknowable. The blue bench found a route (reading the filing's small per-note XBRL fragments individually) and pulled the parent-company schedule, the pledge language, and the VIE asset schedule. That work product is genuinely differentiated — very few holders of this stock know the offshore number is ~\$210 million post-tender.
- **The controller has actually paid out.** Cumulative buybacks total US\$771.9 million for 182.3 million ADSs at an average \$4.20, plus the US\$128 million tender — about US\$900 million delivered to shareholders, all above today's price. The letter-of-credit structure shows management actively bridging the onshore-offshore wall to fund payouts. A further ~US\$94 million of buyback authorization remains. If that is deployed through another tender or a dividend, it is paid from the parent, where the cash verifiably is.
- **The endgame is plausibly a take-private.** Every discounted buyback ratchets the controller's ownership up cheaply. If a going-private filing appears, today's price is likely well below the deal price.

Why it might be priced in

Honestly: mostly, it is. The discount is the fee the market charges for an 87%-vote controller with no stated plan, a pledged onshore cash stack, a melting expense base, withdrawn quarterly reporting, and a float that six million shares of trapped sellers are still trying to exit through a \$46,000-a-day tape. The blue bench's summary is the fair one: the market is paying for the offshore cash and giving the onshore cash away at the controller's option — **a rational price, not a mispricing**. The one thing that would prove the market wrong (the controller forcing the gap shut) is precisely the thing he has disclaimed any plan to do, and he profits from waiting.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Live price \$2.53	stockanalysis.com (IBKR tool permission was denied to both benches this session — a process deviation; live-broker check still owed)	\$2.53 close 2026-08-14, matches pack	YES (secondary source)
Tender: 46.0M tendered / 40.0M bought / 88.8% proration	Company press release, PR Newswire	Confirmed exactly; ~6.0M unfilled seller overhang	YES
Daily volume ~18,200 ADSs	stockanalysis.com	Confirmed; ~\$46k/day	YES
Red bench: “cash is burning at US\$93M/yr”	Blue bench re-read of the FY2025 release	RED BENCH ERROR — overstated ~1.5×. Red annualized the worst quarter and ignored an offsetting derivative gain. Real run-rate ≈ US\$63M/yr of operating expenses minus normal treasury income. Melt is real but slower	CORRECTED
Red bench: controller holds 92.5% of votes	Blue bench recount from 20-F share counts (all Class A vote, not just ADSs)	RED BENCH ERROR — actual figure 87.4%. Substance unchanged: absolute control	CORRECTED
Restricted cash is pledged, not spare	20-F borrowings note (XBRL fragment R17)	Loans secured by SBLCs “collateralized by the Company’s restricted cash” — direct quote	YES
Offshore vs onshore cash split (the case’s decisive fact)	20-F parent-company and VIE schedules (fragments R31, R55) — a gap both benches first called unpullable	Parent liquid US\$338.5M pre-tender, ~US\$210M post — below red’s own US\$400M “change my mind” bar ; VIEs hold 55% of assets	YES — closed adversely to the bull
Red bench: shareholders got only the \$128M tender	Blue bench sweep of buyback history	RED BENCH OMISSION (favoring its own kill case): ~US\$900M cumulative actually delivered at avg \$4.20	CORRECTED
Q1-2026 report skipped	EDGAR 6-K inventory in the evidence pack	Confirmed — no Q1 release exists	YES
Aug 25, 2026 earnings date	Third-party aggregator only	No company PR names it — treat as a rumor with a date	NO — unconfirmed
Full 20-F cash-flow and cash-location narrative	Main document (~4.5MB) unreadable by both benches’ fetch tooling; evidence pack’s own SEC fetch 404’d (malformed URL — a pack build error)	Partially closed via fragment reads; the complete cash note remains unread	PARTIAL
Form 144 seller identity (Dec 2025, filed into the rebrand pop)	Filing list only	Filer identity never verified	NO

PROPOSED ENTRY BANDS

No entry bands — deliberately. Both benches classified every kill finding as a sizing, agency, or exit problem, not a valuation problem, and our response taxonomy reserves price triggers for valuation findings only. A lower price does not fix an untradeable float, a pledged cash pile, or a controller who owns the clock; setting a “buy below \$X” level here would arm a trap. Instead, the case **re-opens** (goes back to court, not to a buy ticket) on any of:

1. **A company-confirmed earnings release** (possible ~Aug 25, 2026 — unconfirmed). Re-court if it restores quarterly reporting, shows positive treasury income, and shows no new pivot spending.
2. **A new self-tender or special dividend announced by 6-K** deploying the remaining ~US\$94 million authorization — this pays from the parent entity, where the cash verifiably is, and would be the strongest sign the controller keeps returning capital.
3. **A Schedule 13D amendment from Luo Min stating take-private intent** — this converts the biggest risk (a self-priced squeeze-out) into the catalyst, and would justify immediate re-underwriting.
4. Red’s residual condition: a verified showing of **≥US\$400M offshore** (e.g., post-distribution replenishment) — currently failed at ~US\$210M.

If any trigger fires and the case survives re-court, sizing is capped by the tape regardless of conviction: at ~\$46k/day traded, even a 0.25%-of-book position takes weeks to build without moving the price.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- filing watch: 6-K, SC TO-I, SC 13D/A, SC 13E-3, 25, 15F until 2027-02-11 (deck-provisional: re-court triggers: earnings restoration, new tender/dividend from the ~US\$94M parent-level authorizati)
- dated pack HTT|2026-08-25: HTT: possible H1-2026 results — third-party estimate, no company PR confirms it; Q1-2026 was skipped (date confirmed=False)

What remains unverified

- The **full 20-F cash and liquidity narrative** — the main document defeated both benches’ tooling; the fragment reads closed the offshore split but not the complete cash-flow story or the aircraft (RMB 1.68B of property-and-equipment) explanation.
- The **December 2025 Form 144 filer identity** — an insider sale into the rebrand rally would matter; unknown who filed it.
- The **August 25 earnings date** — third-party estimate only.
- **Whether the ~US\$94M remaining buyback authorization is being used at all** — no open-market purchase disclosures checked since the tender closed.

- **Live broker tape and executability** — both benches used a secondary price source because the IBKR tool permission was denied this session; per standing rule, pull a live IBKR quote before any future valuation or entry decision on this name.

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